Docket No. 18-0918

In The

Supreme Court of the United States

October Term, 2019

STEVEN VIN SANT, CHAPTER 7 TRUSTEE

Petitioner,

v.

MILTON WEINBERG,

Respondent.

ON WRIT OF CERTIORARI FROM
THE UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

BRIEF FOR RESPONDENT

Counsel for Respondent
January 21, 2019

QUESTIONS PRESENTED

I. Does 11 U.S.C. § 362's automatic stay provision prohibit a creditor from passively retaining possession of estate property that the creditor lawfully repossessed prior to the petition date?

II. Under § 503(b), can a secured creditor be reimbursed for administrative expenses for a substantial contribution to the Debtor's estate in a Chapter 7 case when the creditor has assisted the bankruptcy Trustee in uncovering fraudulent transfers, saving the estate a substantial amount of money?

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BRIEF FOR RESPONDENT

TO THE SUPREME COURT OF THE UNITED STATES:

Respondent, Milton Weinberg, appellant in Docket No. 17-0805 before the United States Court of Appeals for the Thirteenth Circuit, respectfully submits this brief on the merits, and asks this Court to affirm the Thirteenth Circuit Court of Appeals.

OPINION BELOW

The decisions and orders of the United States Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit are unreported and set out in the record. (R. at 3.) The opinion and order for the Thirteenth Circuit Court of Appeals is also unreported and set out in the record. (R. at 9-32.)

STATUTORY PROVISIONS

The following provisions from the United States Code are relevant to this case. These provisions are reprinted in Appendix A through D.

11 U.S.C. § 102 (2018)

11 U.S.C. § 362 (2018)

11 U.S.C. § 503 (2018)

11 U.S.C. § 542 (2018)

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATEMENT OF THE CASE

Factual Background

Debtor and Creditor Relationship. In 2015, the debtor, Christopher Clemons, borrowed $450,000 from the creditor, Milton Weinberg, for new snow plow trucks. (R. at 3-4.) Mr. Clemons, the sole shareholder in his snow plowing business, also took out a personal guarantee on the loan from Mr. Weinberg. (R. at 3-4.) He granted a security interest in the snow plows to Mr. Weinberg. (R. at 4.) Based on the terms of the promissory note, the Debtor would make monthly payments to Mr. Weinberg once the business began generating revenues in December 2015. (R. at 4.) In August 2015, the Debtor purchased the snow plows and was soon awarded a plowing contract with the City of Badlands for submitting the lowest bid. (R. at 4.) In February 2016, Mr. Weinberg contacted Mr. Clemons, after Mr. Clemons failed to submit payment on the loan. (R. at 4.) Following an argument over the estate, Mr. Weinberg sued and obtained a default judgement against the Debtor and Mr. Clemons for $450,000, plus interest and fees. (R. at 4.) Mr. Weinberg did not take immediate action to collect on the judgement. (R. at 4.)

A Harsh Winter is Bad for Business. At this time, Mr. Weinberg tried to collect on his judgement by lawfully repossessing the snow plow trucks in January 2017. (R. at 6.) The trucks were stored in a warehouse, where they are to this day. (R. at 6.) Without the trucks, the Debtor failed to fulfill the 2016-2017 plowing contract, and the City of Badlands threatened to cancel the contract and to sue for damages. (R. at 6.)

Chapter 11 Bankruptcy. On February 4, 2017, the Debtor filed for Chapter 11 bankruptcy. (R. at 6.) The Debtor's attorney sent a demand letter to Mr. Weinberg demanding the immediate return of the snow plows. (R. at 6.) Mr. Weinberg understood that it was the Debtor's burden to bring a turnover action, which would allow Mr. Weinberg to adequately protect his interest in the trucks. (R. at 6.). Instead, the Debtor filed a motion to determine whether Mr. Weinberg's

possession of the snow plows was a violation of the automatic stay pursuant to 11 U.S.C. § 362(a)(3). (R. at 6.) The bankruptcy court found for Mr. Weinberg, and the Debtor appealed in March 2017. (R. at 6.) After losing his contract with the City of Badlands, the Debtor voluntarily converted the Chapter 11 case to a Chapter 7 case. (R. at 7.) On April 13, 2017, a Trustee was appointed to the Debtor's estate. (R. at 7.)

Fraudulent transfers and administrative expenses. Once the case was converted to Chapter 7, Mr. Weinberg tried to collect on Mr. Clemons' personal guarantee. (R. at 7.) In May 2017, Mr. Weinberg hired a law firm who began a creditor's examination of Mr. Clemons. (R. at 7.) As a result of the investigation, Mr. Weinberg discovered that in May 2016, at the start of the initial lawsuit, the Debtor made transfers of $100,000 to the bank account of Mr. Clemons' daughter, Patti Clemons. (R. at 7.) Following the examination, Mr. Weinberg submitted the documents and the testimony to the trustee to prove that the transfers were fraudulent. (R. at 7.) The Trustee filed a complaint against Ms. Clemons to recover the transfers. (R. at 7.) Ms. Clemons agreed to pay $75,000 to the estate to settle the claims against her. (R. at 7.)

Mr. Weinberg, having incurred $25,000 in legal fees for the creditor's examination, filed a motion for the allowance of administrative expenses for substantial contributions pursuant to 11 U.S.C. § 503(b). (R. at 7.) Despite the Trustee's acknowledgement of Mr. Weinberg's contribution to the estate, he opposed the motion. (R. at 8.) The bankruptcy court allowed Mr. Weinberg's administrative expense of $25,000. (R. at 8.) The Trustee appealed (R. at 8.)

Offer to Purchase Snow Plows. One of the Debtor's snow plow competitors, Tenth Avenue, sent the Trustee a letter, offering to purchase all of the Debtor's assets, including the snow plows. (R. at 8.) Tenth Avenue's offer was contingent on the immediate possession and title of the repossessed snow plows. (R. at 8.) After negotiations between the Trustee and Mr. Weinberg proved unsuccessful, the Trustee continued the appeal, attempting to pressure Mr. Weinberg to

return the trucks. (R. at 8.) In November 2017, Tenth Avenue rescinded its offer when it became clear that the company would not receive the title to the trucks before winter. (R. at 8.)

In January 2018, Stone Pony offered $100,000 less for the assets, but did not include the snow plows in the offer. (R. at 8.) The Trustee accepted the offer, believing the value of the Debtor's assets would only decrease. (R.at 9.) The sale to Stone Pony was finalized in February 2018. (R. at 8.) The Trustee maintained the appeals against Mr. Weinberg. which were consolidated into one suit. (R.at 9.) The issues at suit were damages for the automatic stay violation and the substantial contribution appeal. (R. at 9.)

Procedural History

United States Bankruptcy Court for the District of Moot. The Debtor first filed a Chapter 11 petition on February 4, 2017. (R. at 6.) The Debtor demanded that Mr. Weinberg return the snow plow trucks, but Weinberg testified before the bankruptcy court that he refused to return the vehicles based on his understanding that the Debtor had the burden to bring a turnover action. (R. at 6.) The Debtor then filed a motion asking the bankruptcy court to determine that Weinberg's continued retention of the vehicles constituted a violation of the automatic stay. (R. at 6.) The bankruptcy court found that Weinberg had not violated the stay and the Debtor appealed the case to the bankruptcy appellate panel. (R. at 6.) In the meantime, the Debtor voluntarily converted the Chapter 11 case to a case under Chapter 7 and the Trustee was appointed on April 13, 2017. (R. at 7). Using documentation and testimony supplied by Mr. Weinberg, the Trustee filed a complaint against Pattie Clemons to avoid and recover transfers under §§ 548 and 550, which was settled for $75,000. (R. at 7.) After the bankruptcy court approved the settlement, Mr. Weinberg filed a motion seeking allowance of administrative expenses for a substantial contribution to the estate pursuant to § 503(b). (R. at 7.) The bankruptcy court approved Weinberg's motion over the

Trustee's opposition. (R. at 8.) The Trustee then appealed the decision regarding the allowance. (R. at 8.)

Bankruptcy Appellate Panel for the Thirteenth Circuit. The appellate panel affirmed the bankruptcy court in favor of Mr. Weinberg on both issues. (R. at 9.) The Trustee appealed to the United States Court Appeals for the Thirteenth Circuit. (R. at 9.)

United States Court of Appeals for the Thirteenth Circuit. After a timely appeal, the United States Court of Appeals for the Thirteenth Circuit reviewed the bankruptcy court's decision *de novo*. (R. at 9.) The court affirmed the bankruptcy court in favor of Mr. Weinberg on both issues. (R. at 3.) The court held: (1) Mr. Weinberg's retention of the snow plows that he legally repossessed before the bankruptcy filing did not the violate automatic stay under § 362(a)(3), and (2) Mr. Weinberg was entitled to an administrative expense for a substantial contribution under 503(b). (R. at 3.) The Trustee appealed to this Court. (R. at 9.)

SUMMARY OF THE ARGUMENT

Passive retention of collateral. The automatic stay provision prohibits certain acts by creditors to prevent them from destroying the value of the bankrupt estate in their scramble for individual relief. The scope of the provision was expanded in 1984 to prohibit not just acts to obtain possession of the estate property, but also acts to exercise control over that property. However, the amendment did not expand the scope of the automatic stay so broadly as to encompass even passive conduct, which is the conduct at issue here.

It is clear from the plain text of § 362 that the automatic stay provision prohibits only *acts* to exercise control, not *inaction* that may have as its result the exercise of control. Nevertheless, the petitioner asserts that legislative history, policy, and practicality should permit this Court to look beyond the text of the statute to see that Congress would have intended § 362 to prohibit passive retention. Not only is such an inquiry inappropriate where the words of the statute certainly

cannot bear such a meaning, but the legislative history, policy, and practical considerations are unclear at best.

The legislative history does not support the petitioner's contention. While statutory construction certainly requires that the 1984 amendment be read to affect a change in the law, there are several examples of conduct that naturally fit the plain language of the expanded prohibitions. There is therefore no need to contort the statute to include passive retention; its natural reading already affects a sufficient change in the law. Likewise, the policy and practical concerns suggested by the petitioner are dubious.

The rationale is based on overstatements, such as that the automatic stay has the sweeping purpose of *maximizing* the value of the estate. But the stay actually has only the limited purpose of preventing creditors from *destroying* the value already belonging to the estate. The petitioner's reasoning implicitly adopts the policy assumption that no provision or omission in the Code should be read to increase administrative costs, even if doing so helps preserve the rights and positions of creditors. In fact, a proper policy analysis would weigh the value of preserving creditors' rights (such as perfection by possession) against the administrative costs. Because it is not clear that administrative costs will outweigh a creditors rights in every situation, these policy considerations cannot be sufficient to overcome the clear textual evidence that § 362 does not prohibit passive retention.

The petitioner also contends that the turnover provision works in tandem with the automatic stay provision to prohibit passive retention. This contention similarly lacks merit. Petitioner's proposition rests on the assumptions (1) that the turnover provision and the automatic stay provision were intended to be read together, as "right" and "enforcement procedure" respectively and (2) that the turnover provision is self-executing. However, neither finds support in the Code itself. This combination of the automatic stay provision and the turnover provision is not suggested

in the text of either statute. Rather, it is a judicially imagined abstraction based on the assumption that, despite the different purposes of the two statutes, bankruptcy law would be better suited by combining the two. But such analysis amounts to impermissible legislating from the bench. Likewise, to suggest that the turnover provision is self-executing is to take a step beyond the plain language of the turnover provision. This is typically justified, again, by assuming that bankruptcy statutes should always be construed to maximize the estate with no regard for protecting creditors' individual rights. This, too, is both an unjustified assumption and impermissible judicial legislation.

Allowance of administrative expenses. The Bankruptcy Act grants creditors reimbursement of administrative expenses for substantial contribution when they participate meaningfully in the debtor's estate. The creditor's actions must result in a demonstrable benefit to the debtor's estate and cannot arise from activities that were pursued to protect the interests of the creditor alone. Mr. Weinberg acted for the benefit of the Debtor's estate when he investigated fraudulent transfers. Because of his actions, the bankruptcy Trustee was able to recoup $75,000 for the debtor' estate. It is undisputed that Mr. Weinberg substantially contributed to the estate. The question at issue in this case is whether Mr. Weinberg is allowed reimbursement of administrative expenses for his substantial contribution in a Chapter 7 liquidation case.

The petitioner argues that Mr. Weinberg is not entitled to administrative expenses because § 503(b)(3)(D) does not expressly mention Chapter 7 cases. The petitioner incorrectly construes this statute. The text of § 503(b) ends with the term, "including," which is followed by nine subsections. According to the Bankruptcy Code's Rules of Construction—found at 11 U.S.C. § 102(3)—the term "including" is to be construed as nonexclusive. The word is meant to introduce examples, it is not meant to be an exhaustive list. It is thus illogical not to consider the subsections

of § 503(b)(3) as a list of examples. Based on the plain language alone, Chapter 7 creditors should be allowed administrative expenses for substantial contributions to the bankruptcy estate.

If there is ambiguity in the text of a statute, the Court may consider legislative history to understand Congress's legislative intent. Analysis of the relevant legislative history reveals that Congress intended to incentivize creditors to participate in bankruptcy cases. This is reflected in the Senate and House Reports of the Bankruptcy Code of 1978, which state that a priority in bankruptcy cases is to reimburse creditors for administrative expenses in liquidation and reorganization cases. Thus, based on the legislative history the Court should rule in Mr. Weinberg's favor.

It is rare for creditors to spend substantial amounts in a Chapter 7 cases because the bankruptcy court appoints Trustees to manage them. While the U.S. Trustee is the "bankruptcy watch-dog" in these circumstances, there are rare occasions where creditors must step in to protect the interests of the bankruptcy estate such as if the Trustee is unable to perform. In these unique situations, the Court should examine the facts and circumstances to determine if there is a meaningful creditor—a creditor whose efforts have produced an actual benefit to the estate. This is one of those rare cases where a creditor, Mr. Weinberg, acted for the Trustee and his actions substantially contributed to the Debtor's estate.

STANDARD OF REVIEW

The legal standard for determining whether the automatic stay prohibits passive retention and whether the creditor should be granted administrative expenses under Chapter 7 of the Bankruptcy Code is a question of law reviewed de novo. *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC*), 802 F.3d 810, 815 (6th Cir. 2015) ("When we consider an appeal that originated in bankruptcy court, "our review process is slightly different from our normal standard of review[.]) (quoting *Barlow v. M.J. Waterman & Assocs.* (*In re M.J. Waterman & Assocs.*), 227

F.3d 604, 607 (6th Cir. 2000)). *In re Bethlehem Steel Corporation*, 479 F.3d 167, 172 (2d. Cir. 2007) ("We conduct an independent and plenary review of the bankruptcy court's decision, accepting the bankruptcy court's findings of fact unless they are clearly erroneous and reviewing its conclusions of law de novo") (quoting *Evans v. Ottimo*, 469 F.3d 278, 281 (2d Cir. 2006)).

ARGUMENT

I. This Court should hold that a creditor does not violate the automatic stay when it passively retains possession of collateral it lawfully repossessed prior to the petition date.

This issue arises from a line of cases succeeding the decision in *United States v. Whiting Pools*, 462 U.S. 198 (1983), and the Bankruptcy Amendments and Federal Judgeship Acts of 1984. Pub. L. No. 98-353, 98 Stat. 333. In the wake of these events, the majority of circuit courts now hold that passive retention of collateral violates the automatic stay provision of § 362. *See Weber v. SEFCU (In re Weber)*, 719 F.3d 72 (2d Cir. 2013); *Thompson v GMAC, LLC*, 566 F.3d 699 (7th Cir. 2009); *California Empl. Dev. Dep't v. Taxel (In re Del Mission)*, 98 F.3d 1147, 1151 (9th Cir. 1996); *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773 (8th Cir. 1989). The relevant language is: "a [bankruptcy] petition . . . operates as a stay, applicable to all entities, of . . . any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. §§ 362(a), (a)(3) (West 2018). The rationale behind these decisions is not consistent or exceedingly clear, but it generally can be read two ways. The decisions hold either that the plain language of § 362 alone prohibits passive retention or that the combination of the turnover provision of § 542(a) with § 362 prohibits passive retention. However, neither contention is correct.

The petitioner's argument here relies on the proposition that Mr. Weinberg's passive retention of the snow plows violates the automatic stay. (R. at 8.) Therefore, if the Court holds as a matter of law that passive retention cannot amount to a violation of the automatic stay, it should affirm the decisions below finding that Mr. Weinberg did not violate the automatic stay.

A. The automatic stay provision alone does not prohibit passive retention.

One reading of the cases adopting the majority view is that the automatic stay provision alone by itself prohibits passive retention. However, this interpretation is supported by neither a thorough textual analysis of § 362 nor sound legislative history and policy considerations.

1. The plain meaning of the text of the automatic stay provision prohibits only acts, not inaction.

The starting point for interpreting the Bankruptcy Code must begin with the language of the statute itself. *Ransom v. FIA Card Servs., N.A.*, 562 U.S. 61, 69 (2011). In this case, the analysis also ends there, "for where, as here, the statute's language is plain, the sole function of the courts is to enforce it according to its terms." *WD Equipment, LLC v. Cowen (In re Cowen)*, 849 F.3d 943 (10th Cir. 2017) (quoting *Frieouf v. United States (In re Frieouf)*, 938 F.2d 1099, 1102-03 (10th Cir. 1991)) (internal quotation marks omitted).

The words "any act" modify both the phrase "to obtain possession of property of the estate" and the phrase "to exercise control over property of the estate" in § 362(a)(3)—the description of conduct prohibited by the automatic stay. 11 U.S.C. § 362(a)(3); *id.* at 949. To be sure, *Whiting Pools* made clear that repossessed property such as the snow plows at issue here are included in the label "property of the estate." *See Whiting Pools*, 462 U.S. at 203-04.[1] Because no precedent suggests that passive retention constitutes an act to *obtain possession*, the only question is whether passive retention constitutes an act to *exercise control* over this property. *See* 11 U.S.C. § 362(a)(3).

The language of § 362 in this respect is clear and unambiguous. *See Cowen*, 849 F.3d at 949-51. "Act," means to "take action" or "do something." *Id.* at 949 (quoting *New Oxford*

[1] But *Whiting Pools* decided precisely whether the turnover power extended to repossessed property; it did not determine whether failure to turn over this property, with or without an adversary proceeding, constituted a per se violation of the automatic stay. *See id.*

American Dictionary 15 (3d ed. 2010) (primary definition of "act"). It therefore cannot mean to "not take action" or to "do nothing." But this is precisely what passive retention is. Thus, "the automatic stay, as its name suggests, serves as a restraint only on acts to gain possession or control over property." *United States v. Inslaw, Inc.*, 932 F.2d 1467 (D.C. Cir. 1991). "Stay means stay, not go." *Cowen*, 849 F.3d at 949.

This case is a textbook application for the "Omitted-Case Canon" of statutory interpretation. *See* ANTONIN SCALIA & BRYAN A. GARNER, READING LAW: THE INTERPRETATION OF LEGAL TEXTS, 93 (2012). Perhaps the legislature would have wanted passive retention to violate the automatic stay, and perhaps it did not. But the beginning and end of the analysis is whether, by the words in the automatic stay provision, such conduct is prohibited. *See id.* "A *casus omissus* does not justify judicial legislation." *Id.* (citing 7 *Ebert v. Poston*, 266 U.S. 548, 554 (1925) (per Brandeis, J.)). The reality is that such conduct is not included in the prohibitions of the automatic stay, and it is thus outside the realm of the judiciary to read it into the statute. *See id.*

2. Contrary holdings rely on legislative history, improperly emphasizing the term "exercise control" and largely ignoring the term "act."

There are currently two circuits that have held outright that passive retention does not violate the automatic stay. *See Cowen*, 849 F.3d 943; *Inslaw*, 932 F.2d 1467; *see also Davis v. Tyson Prepared Foods, Inc. (In re Garcia)*, 740 Fed. Appx. 163 (10th Cir. 2018). But four circuit courts have held outright that passive retention *does* violate the automatic stay. *See Weber*, 719 F.3d at 79; *Thompson*, 566 F.3d at 703; *Taxel*, 98 F.3d at 1151; *Knaus*, 889 F.2d 773; *see also Unified People's Fed. Credit Union v. Yates (In re Yates)*, 332 B.R. 1 (B.A.P. 10th Cir. 2005); *Transouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676 (B.A.P. 6th Cir. 1999). However, of the four circuit courts that follow the majority approach, only two arguably reach the conclusion that passive retention is prohibited by the automatic stay provision alone. *Compare Weber*, 719 F.3d at 79; *Thompson*, 566 F.3d at 703, *with Taxel*, 98 F.3d at 1151 (concluding that § 362 prohibits

passive retention but relying on interplay with the turnover provision); *Knaus*, 889 F.2d at 775 (relying entirely on the turnover provision).

But the majority conclusion can only be reached by a failure to read the provision in its entirety. Specifically, neither *Weber* nor *Thompson* thoroughly examine the implications of the inclusion of the word "act." 719 F.3d 72; 566 F.3d 699. Rather, they focus almost exclusively on the phrase "to exercise control." *See Weber*, 719 F.3d at 79; *Thompson*, 566 F.3d at 702-03. These courts reasoned that when Congress amended § 362(a)(3) to include the phrase "exercise control" to the list of prohibited activities, it demonstrated its intent that the automatic stay be expanded to cover additional conduct, particularly passive retention. *Id.*

However, this argument is weak not only because it still fails to circumvent the inapplicability of the word "act" to passivity—passively exercising control is still not an *act* to exercise control—but also because the amendment can naturally be read to expand the list of prohibited activities while still excluding passive retention. For example, the amendment unquestionably expanded the stay to cover acts to control intangible property, which are akin to obtaining possession, but technically such property is incapable of "possession." *Cowen,* 849 F.3d at 950. Likewise, the stay now prohibits creditors from doing certain things with even tangible estate property in their possession that do not constitute obtaining possession—such as selling the property—but would still irreparably interfere with the estate's possessory rights. *See id*. Both additions naturally flow from the plain language of the provision and fairly serve the interests of bankruptcy law. The addition advocated by the petitioner, however, can only be gleaned from a tortured reading of the text and serves the interests of some of the parties in bankruptcy to the detriment of the others. *See id* at 949 ("Congress does not 'hide elephants in mouseholes.'") (quoting *Whitman v. American Trucking Ass'ns*, 531 U.S. 457, 468 (2001)).

3. The applicable policy and practicality arguments are weak and do not justify altering the plain meaning of the text.

The majority approach relies heavily on practical and policy reasoning. *Cowen*, 849 F.3d at 948-49 (citing *Weber*, 719 F.3d at 80 and *Thompson*, 566 F.2d at 703). Not only is such resort inappropriate when the text of the statute is so clear, the reasoning itself would be unpersuasive even if the statute were ambiguous. *See id.*

The key failure in the policy and practicality reasoning found in *Weber* and *Thompson* is a patent overstatement of the purpose of the automatic stay. These courts' characterizations of the automatic stay provision's purpose essentially assume that anything that maximizes the estate must be required by the law and anything that stands in the way must be prohibited. *See Weber*, 719 F.3d at 81; *Thompson*, 566 F.2d at 702.

The Second Circuit has manifested a willingness to go beyond the text of the automatic stay for the debtor's benefit. *Weber*, 719 F.3d at 81 (citing *Thompson*, 566 F.2d at 702). For example, the *Weber* court embraced the exceedingly pro-debtor assumption adopted in *Thompson* that "[t]he primary goal of reorganization bankruptcy is to group *all* of the debtor's property together in his estate such that he may rehabilitate his credit and pay off his debts." *Id.* Yet in the next breath, the same court demanded strict adherence to the plain text of § 362(d) and § 363(e) which it interprets as requiring the creditor to turn over property of the estate with only the right to beg the bankruptcy court for protection of its interests at a later date. *Id.* ("The Code requires the creditor first to surrender the property. Only then or in conjunction with that surrender may it proceed to 'request' from the Bankruptcy Court 'adequate protection' for its interest."). The opinion is devoid of any genuine consideration—based in policy, practicality, or otherwise—for creditors who have security interests that are perfected only by possession. *See id*.

Likewise, the *Thompson* opinion applies a thinly-veiled policy argument to § 362(d)(1) and § 363(e) to conclude first that these provisions impose a burden on the creditor to seek protection.

Thompson, 566 F.3d at 703 (citing *Yates*, 332 B.R. at 6; *Sharon*, 234 B.R. at 683-84). Then, the argument proceeds, because such a burden exists, § 362(a)(3) must be read to require creditors to automatically turn over passively retained property lest the burden be rendered meaningless in passive retention cases. *Id.* First, it is a stretch to construe the language granting creditors the right to request protection from the court as a duty or burden to do so. *See* 11 U.S.C. § 362(d)(1) (West 2018) ("On request of a party in interest and after notice and a hearing, the court shall grant relief from the stay."); 11 U.S.C. § 363(e).

Second, even assuming this burden does exist, there are ample scenarios in which the parties agree the automatic stay, and thus the burden to seek protection, already applies—such as property subject to a security interest but already in the estate's possession. Thus the burden does not need to arise in the case of passive retention to have meaning. Statutory interpretation canons do not require doing violence to the text of one section to ensure that another section is effective every time. *See generally* ANTONIN SCALIA & BRYAN A. GARNER, READING LAW: THE INTERPRETATION OF LEGAL TEXTS (2012).

Moreover, this logic assumes its own conclusion. The proposition—that § 362(d)(1) and § 363(e) must be read to apply a burden to creditors engaging in passive retention to seek relief from the stay—assumes the stay applies to that scenario in the first place. It cannot, therefore, be *evidence* that the stay applies to passive retention.

These approaches constitute a serious over-simplification and betray clear and unjustified pro-debtor bias. The D.C. Circuit more correctly spoke when it explained:

> The object of the automatic stay provision is essentially . . . to make sure that creditors do not destroy the bankrupt estate in their scramble for relief. Fulfillment of that purpose cannot require that every party who acts in resistance to the debtor's view of its rights violates § 362(a).

Inslaw, 932 F.2d at 1473.

This is a preferable reading of the purpose of the statute not just because it is more reasonable, but also because it applies more faithfully to the issue at hand. To be sure, the policy arguments made by courts that follow the majority approach are not categorically illegitimate. Both *Weber* and *Thompson* needed to dispense with invalid arguments asserted by the creditors in those cases that § 362 did not apply until the creditor was *subjectively* satisfied with the protection of its property. *See Weber*, 719 F.3d at 81; *Thompson*, 566 F.2d at 702. It is forgivable that the Second and Seventh Circuits found those arguments unpersuasive; such a limitation on the stay does not exist and would certainly frustrate the purpose of the Bankruptcy Code.

However, the policy considerations espoused in those opinions do not apply with nearly the same force when the proposition is merely that the turnover provision alone, not the automatic stay, requires a creditor to turn over passively retained collateral—which is precisely Mr. Weinberg's position here. The policy behind the Code is not so strong as to require all participants to scramble to maximize the value of the estate even when the text of the Code itself does not.

B. The turnover provision does not convert passive retention into an act that violates the automatic stay.

The other justification given for reading the majority approach is that the turnover provision and the automatic stay are meant to work together to capture all conduct included in either provision. *See, e.g.*, *Knaus*, 889 F.2d at 775. However, this contention also fails because the text provides no reason to combine the provisions, the turnover provision is not, as the cases suggest, self-executing, and most importantly, even a self-executing turnover provision cannot overcome the shortcomings discussed above—passive behavior, even if prohibited by the turnover provision, is still not an "act."

1. The Code contains no reason to combine the automatic stay and turnover provisions.

There can be no argument that the turnover provision of § 542(a) modifies § 362(a)(3), unless there is a compelling reason to read them together. But as the Tenth Circuit in *Cowen* points out, there simply is not. *See Cowen*, 849 F.3d at 950. First, there is no textual suggestion in either provision that there is a relationship between the two. *See id.* ("[T]here is [ ] no textual link between § 542 and § 362."). Moreover, the policy reasons to do so similarly lack merit. *See id.* ("[B]ankruptcy courts do not need § 362 to enforce the turnover of property to the estate."). It is telling that every circuit that adopts the majority approach has ultimately combined the statutes, but the shortcomings in their policy arguments categorically mirror those discussed above—they overstate the purpose of the automatic stay provision in favor of the rights of the debtor. *Compare Yates*, 332 B.R. at 10 (suggesting that the purpose of the automatic stay is to ensure that the debtor's estate has *possession* of all estate property), *with Inslaw*, 932 F.2d at 1473 ("The object of the automatic stay provision is essentially to . . . make sure that creditors do not destroy the bankrupt estate in their scramble for relief."). Because there is no reason to read the turnover provision as modifying the automatic stay, the analysis ought to end here.

2. The turnover provision is not self-executing.

The most consistent position taken by courts adopting the majority approach is that the turnover provision is "self-executing." *See, e.g.*, *Weber*, 719 F.3d at 79. The argument then continues that the automatic stay provision prescribes the penalty for failure to comply with the self-executing turnover provision. *See id.* But there is a circuit split on this question of whether the turnover provision is self-executing at all. *Compare Weber*, 719 F.3d at 79 (citing a treatise for the proposition that the turnover provision is expressly self-executing), *with Cowen*, 849 F.3d at 950 (declining to hold that the turnover provision is self-executing). Even the treatise cited by *Weber* for the proposition that the turnover provision is self-executing is inconsistent on the topic.

Compare 5 COLLIER ON BANKRUPTCY ¶ 542.02 (16th ed. 2012) ("Generally, an adversary proceeding . . . is required for section 542 turnover actions."), *with* 5 COLLIER ON BANKRUPTCY ¶ 542.03 (16th ed. 2012) ("By its express terms, section 542(a) is self-executing.").

In fact, there are ample reasons not to construe the turnover provision as self-executing. One compelling reason is that to hold otherwise could not reasonably be limited to the case where the property's belonging to the estate is undisputed. As the D.C. Circuit put it in *Inslaw*, "[s]ince willful violations of the stay expose the offending party to liability for compensatory damages, costs, attorney's fees, and, in some circumstances, punitive damages . . . it is difficult to believe that Congress intended a violation whenever someone already in possession of property mistakenly refuses to capitulate to a bankrupt's assertion of rights in that property." 932 F.2d 1473.

But the textual arguments that the provision is self-executing are incorrect as well. For example, the Seventh Circuit in *Thompson* pointed to this Court's language in *Whiting Pools* which discussed the express exceptions to the turnover power as evidence that the Court favors an interpretation that the power is self-executing. *Whiting Pools*, 462 U.S. at 205-06; *Thompson*, 566 F.3d at 706. But it does not follow that simply because this Court recognizes the express limitations on the turnover power it therefore must not recognize others, such as the need for an adversary proceeding to execute turnover. For example, the D.C. Circuit identified several well-recognized implicit limitations on the turnover power in *Inslaw* which caused it to seriously question whether the provision could be read as self-executing at all. *Inslaw*, 932 F.2d at 1473. Likewise, the turnover provision references § 363 to describe the property subject to turnover, a provision which itself begins by explaining that the trustee may use, sell, or lease property of the estate *only* after notice and a hearing. 11 U.S.C. § 363(b)(1), § 542(a). This would imply that the creditor is entitled to a hearing before the property is susceptible to turnover. This proposition is consistent with

holdings which have expressly preserved creditors' rights to an adversary proceeding before turnover. *See, e.g.*, *In re Riding*, 44 B.R. 846, 857-58 (Bankr. D. Utah 1984).

3. Even a self-executing turnover provision could not convert passive retention of collateral into an "act" violative of the automatic stay.

Even assuming the turnover provision is self-executing, it still does not follow that failure to comply with the turnover provision constitutes an "*act* to exercise control." *See* 11 U.S.C. 362(a)(3). Returning to the textual analysis of the statute, the word "act" requires something affirmative. Neglecting to do something is no more an act when that something is required by law than when it is not. To hold that the law's requirements may convert inaction into action is nonsensical at best.

Most importantly, perhaps such a leap might be justified if the alternative conclusion were a total failure of the Code. But this is not the case for passive retention. The wrong sought to be avoided by the majority approach is not that the retained collateral may be forever shielded from the possession of the estate; rather, holding in favor of the majority approach will merely provide a shortcut around already established methods of acquiring passively retained collateral to save a few dollars for the estate. *See, e.g.*, *Knaus*, 889 F.2d at 775 ("[I]f persons who could make no substantial adverse claim to a debtor's property in their possession could . . . compel the debtor or his trustee to bring suit . . . the general creditors would have needlessly to bear the cost of its return."). But courts have concluded in the past that the increased cost of turnover actions may be justified when it can better protect the creditors' rights. *See In re Riding*, 44 B.R. at 858. And, in contrast to the proposition that increased cost of requiring suit would be "needless," creditors often have rights, such as exclusive perfection by possession, that are unprotectable under the majority approach. *See Knaus*, 889 F.2d at 775.

In fact, it appears that by excluding passive retention of collateral from the expansion of the automatic stay, Congress was attempting to be relatively even-handed. The majority approach threatens to wipe away that balance in favor of maximizing the estate at all costs.

Because the automatic stay provision does not prohibit—either alone or in combination with the turnover provision—passive retention of collateral lawfully repossessed prior to the petition date, this Court should affirm the finding below: that Mr. Weinberg did not violate the automatic stay by passively retaining the snow plows.

II. This Court should find that administrative expenses for substantial contributions extend to Chapter 7 cases.

The bankruptcy court below correctly held that Mr. Weinberg was entitled to reimbursement for administrative expenses which substantially contributed to the recovery of funds for the bankruptcy estate. (R. at 16-17.) To reach this conclusion, the court below correctly held that § 503 allows administrative expenses in liquidation cases. *See* 11 U.S.C. § 503(b) (West 2018); *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 819 (6th Cir. 2015).

Section 503(b) provides a non-exhaustive list of administrative expenses that shall be allowed, including the actual necessary expenses incurred by a creditor in making a substantial contribution. *See* 11 U.S.C. 503(b). The Bankruptcy Code does not define "substantial contribution." *See id.*; *In re S&Y Enterprises, LLC*, 480 B.R. 452, 462 (E.D.N.Y 2012). Rather, the analysis of whether a creditor made a substantial contribution is a question of fact for the court. *See In re Alumni Hotel Corp.*, 203 B.R. 624, 630 (E.D. Mich. 1996). But the parties do not dispute that Mr. Weinberg made a substantial contribution to the estate. *See* (R. at 17.); *Lebron v. Mechem*, 27 F.3d 937, 944 (3rd Cir. 1994). The issue here is whether administrative expenses for substantial contributions can be granted in Chapter 7 cases. (R. at 17.)

Bankruptcy courts are courts of equity and the equitable principles are meant to protect the bankruptcy estate. *See Architectural Bldg. Components v. McClarty (In re Foremost Mfg. Co.)*, 137 F.3d 919, 924-25 (6th Cir. 1998). However, this Court has held that "[t]he Bankruptcy Code standardizes an expansive (and sometimes unruly) area of law, and it is [the courts'] obligation to interpret the Code clearly and predictably using well established principles of statutory construction." *RadLax Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 649 (2012). Therefore, to determine whether Mr. Weinberg is entitled to administrative expenses for substantial contributions pursuant to § 503(b), the Court must look first to the plain language of the statute. *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC*), 802 F.3d 810, 815 (6th Cir. 2015).

A. The language of 11 U.S.C. § 503(b) allows creditors in Chapter 7 cases to be awarded administrative expenses for substantial contributions.

Mr. Weinberg is entitled to administrative expenses for his substantial contribution to the debtor's estate based on the plain language of 503(b). The plain language of § 503(b) states:

> (b) After notice and hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, *including* –

11 U.S.C. § 503(b) (West 2018) (emphasis added). Because the word including is not limiting, § 503(b) provides a non-exhaustive list of categories of administrative expenses that are allowed to secured creditors. *See* 11 U.S.C. § 102(3) (West 2018). Therefore, § 503(b) must be read to apply to Chapter 7 cases because the term including is expansive based on the canons of statutory construction. *See* ANTONIN SCALIA & BRYAN A. GARNER, READING LAW: THE INTERPRETATION OF LEGAL TEXTS 132-33 (2012).

Likewise, the legislative history suggests the same result. Both the Senate and House Judiciary Committee Reports state that one of the aims of the administrative expenses provision is to encourage participation by assuring payment to those who contribute to liquidation of the estate.

H.R. REP. NO. 95-595 (1977), *as reprinted in* 1978 U.S.C.C.A.N. 5963; S. REP. NO. 95-989 (1978), *as reprinted in* 1978 U.S.C.C.A.N. 5787.

1. The statutory construction of the term "including" is non-exhaustive and enlarges the scope of the statutory list.

According to the Bankruptcy Rules of Construction, "includes and including are not limiting." 11 U.S.C. § 102(3) (West 2018). This Court continues to hold that the term "including" enlarges rather than limits a statutory list. *See, e.g.*, *U.S. Bank Nat'l Ass'n ex rel. CW Capital Asset Mgmt LLC v. Village at Lakeridge LLC,* 138 S.Ct. 960, 963-64 (2018). If Congress had used the phrase "shall include," for instance, the term could be construed as limiting. *See Mitchell v. Residential Funding Corp.*, 334 S.W.3d 477, 496 (Mo. Ct. App. W.D. 2010). Congress, however, did not intend to provide a limited, comprehensive list of expenses in 503(b). *See In re Connolly,* 802 F.3d at 816. Rather, Congress's addition of the term "includes" suggests the statute merely details a non-exhaustive list of examples. *C.f.* ANTONIN SCALIA & BRYAN A. GARNER, READING LAW: THE INTERPRETATION OF LEGAL TEXTS 132-33 (2012) ("The verb *to include* introduces examples, not an exhaustive list."). Thus, it follows that this Court should interpret "including" as an expansive term under § 503(b). *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC*), 802 F.3d 810 (6th Cir. 2015).

This reading is supported by the Sixth Circuit's decision in *In re Connolly*. *Id.* at 813. In that case, three unsecured creditors removed a trustee for wrongful transgressions, which led to increased funds available to the bankruptcy estate. *Id.* There, the bankruptcy court denied reimbursement of administrative expenses to the creditors because it held that they were not authorized under § 503(b) for Chapter 7 cases. *Id*.

The Sixth Circuit reversed the bankruptcy court's decisions, holding that courts should determine each case based on facts and circumstances, statutory construction, and bankruptcy policy considerations. *Id.* at 816. It reasoned that by adding the word "including" in 1978, Congress

demonstrated that it anticipated the variety of administrative expenses a bankruptcy court may face and thus the need for flexibility. *Id.* at 815-16. The Sixth Circuit applied the Code "as a ceiling, with license to operate within that framework to achieve equitable ends." Brendan Chisholm, *Equity Will Rule Until Amendment in Section 503 Bankruptcy Administration Expenses*, 85 U. CIN. L. REV. 553, 566 (2017). This reality suggests that an expansive reading of the allowances is preferable; in cases where an allowance would be inequitable, the bankruptcy court may deny it. But in cases such as this one, where the allowance is more than fair, the bankruptcy court ought to have the discretion to grant it.

To be sure, not all courts, however, interpret the statutory language as broadly as the Sixth Circuit. Other courts, such as the Ninth Circuit and the Third Circuit, rely upon the statutory canon of *expressio unius est exclusion alterius*, a Latin phrase that means the express mention of one thing, excludes all others. *Compare Mosier v. Kupetz* (*In re United Educ. & Software*), 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005) (holding that the administrative expenses are restricted to Chapter 9 and 11 cases); *Lebron v. Mechem*, 27 F.3d 937, 945 (3rd Cir. 1994) (holding that post-conversion expenses from a Chapter 11 to a Chapter 7 case cannot be considered a substantial contribution in the Chapter 11 case), *with In re Health Trio, Inc.*, 584 B.R. 342, 352 (Bankr. D. Colo. 2018) (concluding that the expansive meaning of including renders the canon of *expressio unius* immaterial). For example, in *Mosier v. Kupetz*, the Ninth Circuit noted that while the word "including" applied broadly to six subsections under § 503(b), § 503(b)(3) is limited to its five subsections. *Mosier*, 2005 WL 6960237 at *7.

The Ninth Circuit's interpretation of the plain language is, however, "illogical." *In re Maqsoudi*, 566 B.R. 40, 44 (Bankr. C.D. Cal. 2017). It is "grammatically improper" to extend the language in § 503(b) but not to extend the same association to the provisions of § 503(b)(3). *See*

id. This use of the word "including" violates the canon of *expressio unius est exclusion alterius*. *Id.* at 44-45.

2. The relevant provisions' legislative history indicates that Congress intended that creditors be awarded administrative expenses for substantial contributions in Chapter 7 liquidation cases.

If a statute is ambiguous, then the court may examine the legislative history to determine the legislative intent. *See U.S. v. Public Utils. Comm'n of Cal.,* 345 U.S. 295, 315 (1953); J.G. SUTHERLAND, STATUTES AND STATUTORY CONSTRUCTION, 1019 (Shambie Singer ed., 8th ed. 2018). The earliest version of the Bankruptcy Code bill, Senate Bill 236, states an "administrative claim 'shall be allowed' for compensation of services [. . .] in Chapter 9 and 11 proceedings." *In re Connolly,* 802 F.3d at 821. But Congress amended this provision in 1978, expanding the set of circumstances in which administrative claims are allowed. The House and Senate Committee Reports from the amended Bankruptcy Act of 1978 provide guidance as to the legislative intent of Congress. H.R. REP. NO. 95-595; S. REP. NO. 95-989.

In House Report 595, Congress demonstrated that it intended to protect those who were involved in the debtor's estate and to ensure payment for fear that "they will not participate in the liquidation or distribution of the estate." H.R. REP. NO. 95-595, at 186-87 ("[U]nder current law, the first priority is for administrative expenses."). The report simply stated that § 503(b) lists some types of administrative expenses allowed under the bankruptcy code. H.R. REP. NO. 95-595 at 355. Congress further noted the importance of administrative expenses in bankruptcy cases, specifically in liquidation cases, which are largely under Chapter 7. H.R. REP. NO. 95-595, at 186-87. Thus, based on the language of the legislative history, the reasonable conclusion is that Congress intended to protect those who provide substantial contribution in Chapter 7 cases. H.R. REP. NO. 95-595, at 186-87. Therefore, Mr. Weinberg should be granted administrative expenses because

the Bankruptcy Act was intended to protect those who are involved in the debtor's estate. H.R. REP. NO. 95-595, at 186-87.

B. Bankruptcy policies of equitable relief encourage creditor participation in bankruptcy cases, even under Chapter 7.

In the Bankruptcy Act of 1978, Congress's primary concern was to protect the interests of those involved in the debtor's estate. *See* H.R. REP. NO. 95-595, at 186-87. This Court noted that one concern of the Bankruptcy Act was to keep administrative expenses and costs to a minimum to preserve the estate for creditors. *Otte v. U.S.*, 419 U.S. 43, 53 (1974). But there are unique circumstances in which the court has the discretion to grant equitable relief and can award creditors administrative expenses. *In re Connolly,* 802 F.3d at 817-18.

In *Connolly*, the court noted that administrative expenses for Chapter 7 creditors are rare because the U.S. Trustee is akin to a "bankruptcy watch-dog." *In re Connolly,* 802 F.3d at 817-18. But in some circumstances, an unfortunate creditor is forced to step in to protect the bankruptcy estate if the U.S. Trustee fails to do so. *In re Connolly,* 802 F.3d at 817-18. The *Connolly* court argued that denying the reimbursement of administrative expenses to creditors in Chapter 7 cases would "disincentivize participation in the bankruptcy process" and upset the notion of "bankruptcy as equitable relief." *In re Connolly,* 802 F.3d at 819. In such cases, denying administrative expenses to creditors would be inconsistent with the policy considerations inherent in bankruptcy law. H.R. REP. NO. 95-595, at 186-87; *In re Connolly,* 802 F.3d at 819; *In re Sharkey*, No. 17-11237, 2017 WL 5476486 (E.D. Mich. 2017) (explaining that Chapter 13 cases can also be awarded administrative expenses based on the holding in *In re Connolly*). Further, the public interest is better served by encouraging creditor participation in alerting the trustee to potential claims beneficial to the estate.

But some courts depart from the Sixth Circuit Court's policy position. *See Mosier v. Kupetz* (*In re United Educ. & Software*), 2005 WL 6960237, at *6 (B.A.P. 9th Cir. Oct. 7, 2005). These

courts hold that the party incurring these administrative expenses bears the risk and financial burden in Chapter 7 cases. *See id.* In *Mosier v. Kupetz*, the Ninth Circuit held that when the petitioner, Mr. Mosier (a party in interest), took it upon himself to incur the costs, he litigated at his own risk and expense. *Id*. Disregarding the doctrine of "fundamental fairness"—which allows administrative expense claims to deter the trustee or debtor from harming a third party—that court held that Mosier was not allowed administrative expenses because he freely provided his services. *Id.* at 7.

Applying this reasoning, creditors, for example, may unilaterally pursue leads that might recover value for all creditors, but they are not entitled to a substantial contribution allowance. Rather, the only chance they have to be made whole is the slim possibility that the value they recover for the estate increases their share of the distribution more than the cost of their administrative expense. This approach, far from encouraging creditor participation, all but instructs them to sit on their hands and hope the Trustee does a good enough job.

In this case, Mr. Weinberg uncovered information that ultimately was extremely valuable to the estate. He was under no duty, however, to share that information with the trustee. If the rule of the Ninth Circuit had been clearly in place at the time Mr. Weinberg uncovered the information, he would have had little to no incentive to turn over the information. However, the opposite would be true had the rule of the Sixth Circuit been in place. In this instance, Mr. Weinberg saved the bankruptcy estate time and money by uncovering the fraudulent transfers and thus maximized the estate for all creditors.

At the end of the day, to deny Mr. Weinberg administrative expenses would disincentivize him, and those similarly situated, from participating as a future creditor, specifically in Chapter 7 cases. *In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (2018) ("If the particular facts of a case

warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate.").

CONCLUSION

The automatic stay provision cannot be read to prohibit passive retention of property that was lawfully repossessed prior to the petition date. The text of the statute does not support an alternate reading and no policy arguments exist that justify this Court going beyond the plain text of the statute. Further, the turnover provision is separate and distinct from the automatic stay provision. There is no credible indication that the legislature intended the courts to read the statutes together and even less to suggest that doing so would cause the automatic stay provision to take on a meaning it does not express—specifically, that it prohibits failing to turn over property.

Likewise, the administrative expenses statute absolutely allows an award here because the language of the statute creates an inclusive, non-exhaustive list of individuals entitled to reimbursement for administrative expenses. Even if the Court were to look beyond the plain text of the statute, they would see within the legislative history that Congress did intend Chapter 7 creditors to be granted administrative expenses. The Bankruptcy Act is meant to protect those involved in bankruptcy cases and it would disincentivize creditors from participating in in the future. The Respondent asks that this Court affirms the ruling of the Thirteenth Circuit Court of Appeals and rules in his favor.

CERTIFICATE OF SERVICE

We certify that a copy of Respondent's brief was served upon Petitioner, Steven Vin Sant, Chapter 7 Trustee, through the counsel of record by certified U.S. mail receipt requested, on this day, the 21st day of January, 2019.

Team R. 56
Counsel for the Respondent

Appendix A

11 U.S.C. § 102 Rules of Construction

In this title—

(1) "after notice and a hearing", or a similar phrase—

(A) Means after such notice as is appropriate in the particular circumstances, and such opportunity\y for a hearing as is appropriate in the particular circumstances; but

(B) Authorizes an act without an actual hearing if such notice is given properly and if—

(i) Such a hearing is not requested timely by a party in interest; or

(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(2) "claim against the debtor" includes claim against property if the debtor;

(3) "includes" and "including" are not limiting;

(4) "may not" is prohibitive, and not permissive;

(5) "or" is not exclusive;

(6) "order for relief" means entry of an order for relief;

(7) the singular includes the plural;

(8) a definition, contained in a section of this title that refers to another section of this title, does not, for the purpose of such reference, affect the meaning of a term used in such other section; and

(9) "United States trustee" includes a designee of the United States trustee.

Appendix B

11 U.S.C. § 362 Automatic Stay.

(a) Except as provided in subsection

(b) of this section, a petition filed under section 301, 302, or 303, of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay applicable to all entities, of—

(1) the commencement or continuation, including the issuance or employment of process, or a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the debtor or against property of the estate, of a judgement obtained before the commencement of the case under this title;

(3) any act to obtain possession or property of the estate or of property from the estate or to exercise control over property of the estate;

(4) any act to create, perfect, or enforce any lien against property of the estate;

(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

(8) the commencement or contribution of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

(b) Omit.

(c) Omit.

(d) On request of a party in interest and after notice and a hearing, the court shall grant relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay—

(1) for cause, including the lack of adequate protection of an interest in property of such party in interest;

(2) with respect to a stay of an act against property under subsection (a) of this section, if—

(A) if the debtor does not have an equity in such property; and

(B) such property is not necessary to an effective reorganization;

(3) with respect to a stay of an act against single asset real estate under subsection (a), by a creditor whose claim is secured by an interest in such real estate, unless, not later than the date that is 90 days after the entry of the order for relief (or such later date as the court may determine for cause by order entered within that 90-day period) or 30 days after the court determines that the debtor is subject to this paragraph, whichever is later—

(A) the debtor has filed a plan of reorganization that has a reasonable possibility of being confirmed within a reasonable time; or

(B) the debtor has commenced monthly payments that—
(i) may, in the debtor's sole discretion, notwithstanding section 363(c)(2), be made from rents or other income generated before, on, or after the date of the commencement of the cause by or from the property to each creditor whose claim is secured by such estate (other than a claim secured by a judgement lien or by an unmatured statutory lien); and

(ii) are in the amount equal to interest at the then applicable nondefault contract rate of interest on the value of the creditor's interest in such real estate; or

(4) with respect to a stay of an act against real property under subsection (a), by a creditor whose claim is secured by an interest in such real property, if the court finds that the filing of the petition was part of a scheme to delay, hinder, or defraud creditors that involved either—

(A) transfer of all or part ownership of, or other interests in, such as real property without the consent of the secured creditor or court approval; or

(B) multiple bankruptcy filings affecting such real property.

Appendix C

11 U.S.C. § 503 Allowance of Administrative Expenses.

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)(A) the actual, necessary costs and expenses of preserving the estate including—

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal of State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether an services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) Any tax—

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) or this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indentured trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28;

(7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claimed under section 502(b)(6);

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred—

(A) in disposing of patient records in accordance with section 351; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

Appendix D

11 U.S.C. § 542 (West 2018) Turnover of Property of the Estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use sell or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 or this title against a claim against the debtor.

(c) Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

(d) A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

(e) Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs to turn over or disclose recorded information to the trustee.